

February 18, 2020

Global markets shudder as Apple's warning deepens coronavirus fallout

Growing cracks in China's supply chain are disrupting the world's most powerful companies and unnerving investors

Global stocks fell Tuesday after Apple said the coronavirus would crimp its quarterly revenue, signaling that China's health crisis is casting an ever-widening shadow.

"The floodgates are opening," said Invesco chief market strategist Kristina Hooper in an email following the market's close. "Companies are beginning to warn that the coronavirus outbreak will impact earnings and stocks have begun to react negatively."

China accounts for roughly 20 percent of global gross domestic product. It has been hit hardest as the epicenter of the outbreak, with more than 72,000 cases. The epidemic has forced the country into lockdown and idled its manufacturing industry, a vital supplier to companies everywhere.

The virus had killed more than 1,800 people worldwide as of Monday, and its fallout has rippled around the globe through supply chain disruptions, cratering tourism and travel and widespread store closures that are challenging global firms and stalling growth at a time when it was expected to rebound thanks to the U.S.-China trade truce. Experts now predict the global economy will shrink this quarter for the first time since 2009.

"Markets have been far too complacent about how China's woes would have a direct impact on supply chains for a large number of companies around the world," Russ Mould, investment director at AJ Bell, said in commentary Tuesday. "If factories are closed, are running at partial capacity, or are struggling to get raw materials to make goods, then it is no wonder that supplies will be disrupted". The Dow Jones industrial average declined for the third day in a row after hitting record highs last week. The Dow closed at 29,232.19 on Tuesday, down 165.89 points, or 0.56 percent, after bouncing back from a 300-point fall earlier in the day. Walmart was the Dow leader, gaining 1.48 percent on the day after it announced a hefty dividend increase. Dow Inc., Goldman Sachs Group and Intel — along with Apple — were the big drags on the blue chips as 24 of its 30 components finished in the red. Global stocks fall after Apple warns on coronavirus impact.

The warning from the most valuable company in the United States sobered investor optimism that economic stimulus by Beijing and other countries would protect the global economy from the effects of the epidemic.

Asian shares fell and Wall Street retreated from record highs on Tuesday after Apple Inc said it will not meet its revenue guidance for the March quarter as the coronavirus outbreak slowed production and weakened demand in China.

The warning from the most valuable company in the United States sobered investor optimism that economic stimulus by Beijing and other countries would protect the global economy from the effects of the epidemic. (February 18 2020)

July 30, 2020

Apple Earnings: What Happened

Apple smashed earnings and sales expectations this quarter when it reported its results on July 30, 2020, as the continuing antitrust investigation does not seem to have slowed the tech behemoth down at all. A second surprise came from the fact that the large revenue surprise didn't come from Apple's services segment, which it is working to shift its focus to, but from its iPhone revenue. iPhone revenue substantially surpassed expectations whereas services revenue merely matched it. iPhone revenue has declined substantially since the beginning of Apple's fiscal year 2019, so seeing this segment in the spotlight is a change of pace. In addition, Apple announced a 4:1 stock split, meaning each investor would get four shares for each one they currently own. This will bring the price of each share back down to around \$100 from its current \$403. Shares of AAPL are up sharply in after-hours trading. What to Look For : Apple Inc. (AAPL)'s resilience during the coronavirus pandemic is reflected in the company's stock price. Apple's shares have climbed about 73% since mid-March amid growing optimism after plunging earlier this year on initial market concern about the virus.¹ Investor confidence was fueled further when Apple beat expectations in its quarterly report in late April.

Investors will be looking for more signs that the company can withstand the COVID-19-induced economic shock when Apple reports earnings on July 30, 2020 for Q3 FY 2020.² Analysts estimate both earnings per share (EPS) and revenue will decline year over year (YOY). Apple's latest fiscal year ended in September, 2019.

One key metric investors will focus on is Apple's services revenue. Apple CEO Tim Cook has focused on growing services rapidly in recent years, but services still comprise less than a fifth of Apple's overall revenue. In Q3, analysts expect services revenue to post healthy gains, although slightly slower than in the prior three quarters. Investor enthusiasm about Apple's long term services strategy, along with the introduction of new products, has helped Apple to dramatically outperform the broader market. The tech giant's shares have posted a total return of 89.6% over the past 12 months, nearly nine times bigger than the S&P 500's total return of 9.5%. All figures are as of July 22, 2020. Apple's shares fell slightly after reporting earnings for Q2 FY 2020 ending in March. But the underlying fundamentals were strong. Apple exceeded analysts' estimates, and also reported growth in both the bottom and top lines during a spreading virus that was the biggest shock to the global economy since the 2007-2008 financial crisis. This helped the stock to quickly resume its upward trend. In that quarter, EPS grew 5.7% on revenue growth of 0.5% amid lockdowns in China, where many of Apple's major suppliers are located, and subsequent closures of many of its consumer stores across the globe. These trends reined in both product supply and consumer demand for many Apple products.³

Visible Alpha. "Financial Data." For Q1 FY 2020, announced in late January before the COVID-19 outbreak, Apple reported record revenue of \$91.8 billion. EPS grew 19.4% on revenue growth of 8.9%, marking the fastest growth for both the top and bottom line since Q4 FY 2018.³ That growth was driven largely by sales of Apple's newest iPhone as well as its services and wearables businesses.⁴ The company's shares rose higher on the report, but traded mostly sideways over subsequent weeks before the market crashed as fears over the spread of COVID-19 mounted. Date : July 30, 2020

Date : July 30 ,2020

Analysts don't expect that growth to continue in Q3 FY 2020. They estimate a 10.1% decline in EPS and a 3.7% decline in revenue. This would mark the largest EPS decline since the fourth quarter of FY 2016, and the first drop in revenue since Q2 FY 2019. As mentioned, a major focus for investors this quarter may be on Apple's services revenue. The company has been pivoting towards services as sales of hardware devices, including the flagship iPhone, have slowed. Apple's services include streaming services such as movie and TV entertainment provider Apple TV+, video game seller Apple Arcade, news services, and digital content stores including the iTunes Store and the App Store, as well as Apple Pay, and AppleCare. It also includes a variety of other services that support Apple's hardware devices. Revenue from Apple's services business tends to be more stable and predictable than its product revenue, and services also have much higher margins. Apple's gross margin for services has been between 61-65% over the past two years, almost double Apple's gross margin for products has ranged between 30-34% over the same period. This means that every dollar of services revenue contributes about twice the gross margin, and thus potentially twice the profit, of other Apple businesses.³

Services currently comprise about 17.8% of Apple's total revenue but that share has increased rapidly in the past couple of years. Services revenue comprised just 14.3% of the total in 2017.⁵

Apple Inc. "Form 10-K for the fiscal period ended September 28, 2019," page 19.

The major source of the company's strength during the latest reported quarter, Q2 FY 2020, came from service revenue growth, which rose 16.6% to hit an all-time record \$13.3 billion despite the pandemic.⁶

Analysts expect services revenue to remain resilient, forecasting growth of 15.4%.³ This shows that Apple's strategical pivot to services is still working even as global economic demand continues to falter. But there also are warning signs. The estimated growth rate of services in Q3 also would be less than half of its 40% growth rate at its peak in Q2 FY 2018 and it's also the second-slowest growth of any quarter in about four years.

Date: July: 30 , 2020

April 30, 2020

Apple Reports Second Quarter Results

Total Revenue Grows, Services Revenue Reaches New All-Time High of \$13.3 Billion

Cupertino, California — April 30, 2020 — Apple today announced financial results for its fiscal 2020 second quarter ended March 28, 2020. The Company posted quarterly revenue of \$58.3 billion, an increase of 1 percent from the year-ago quarter, and quarterly earnings per diluted share of \$2.55, up 4 percent. International sales accounted for 62 percent of the quarter's revenue.

"Despite COVID-19's unprecedented global impact, we're proud to report that Apple grew for the quarter, driven by an all-time record in Services and a quarterly record for Wearables," said Tim Cook, Apple's CEO. "In this difficult environment, our users are depending on Apple products in renewed ways to stay connected, informed, creative, and productive. We feel motivated and inspired to not only keep meeting these needs in innovative ways, but to continue giving back to support the global response, from the tens of millions of face masks and custom-built face shields we've sent to medical professionals around the world, to the millions we've donated to organizations like Global Citizen and America's Food Fund." "We are proud of our Apple teams around the world and how resilient our business and financial performance has been during these challenging times," said Luca Maestri, Apple's CFO. "Our active installed base of devices reached an all-time high in all of our geographic segments and all major product categories. We also generated operating cash flow of \$13.3 billion during the quarter, up \$2.2 billion over a year ago. We are confident in our future and continue to make significant investments in all areas of our business to enrich our customers' lives and support our long-term plans — including our five-year commitment to contribute \$350 billion to the United States economy."

Apple's board of directors has declared a cash dividend of \$0.82 per share of the Company's common stock, an increase of 6 percent. The dividend is payable on May 14, 2020 to shareholders of record as of the close of business on May 11, 2020. The board of directors has also authorized an increase of \$50 billion to the existing share repurchase program.

Date: April 30, 2020

Mar 10 2020

Apple got off to a strong start and looked unstoppable in 2020. Then the coronavirus broke out

Apple's got off to a strong start this year after reporting solid December quarter earnings and a record high for the stock. But with the outbreak of the coronavirus and its spread across the world, Apple said it won't be able to meet its revenue guidance for the March quarter.

Apple's stock has fallen nearly 19% from its record high.

Analysts said there will be continued near-term impact from the virus but believe Apple will be able to reach record highs in the next 12 months. Apple got off to a great start in 2020.

Chief Executive Tim Cook lauded the company's "blockbuster quarter" for the three months that ended in December 2019, in which the company posted market beating earnings and revenue. The iPhone 11 series appeared to be doing well, especially in China, one of the company's most critical markets.

On Jan. 29, a day after its earnings, Apple shares hit an intra-day high of \$327.85, even after it gave wider-than-usual guidance for its March quarter. Investors felt content.

At that point, the number of coronavirus cases in China stood at over 7,000 versus more than 80,000 on Monday.

In early February, analysts reiterated their buy ratings on Apple's stock and strong price targets. While acknowledging the outbreak of the coronavirus, they felt Apple could withstand it.

"Overall, we see the coronavirus impact on AAPL as a dynamic that continues to gain in importance to the company, though we size the present impact to be relatively minimal, financially," Deutsche Bank said in a note on Feb. 2, referring to Apple's stock code on the Nasdaq.

Then the reality of its impact sank in. Shares slammed

Since the record intra-day high, Apple shares have fallen nearly 19% that's wiped off billions of dollars in value, even as the broader equity markets saw a violent sell-off.

According to a Reuters poll, analysts are still predicting that Apple could potentially hit new record highs this year after a big rally in 2019. In fact, the current average 12-month price target on Apple's stock is \$333.57. If realized, it would represent a 25% rise from Monday's closing price. It would also be a new record high for the stock.

Date: May 10 , 2020

Given that the \$333.57 figure is a 12-month price target, analysts say it could even be reached in 2021.

Nov 12 , 2021

As Supply Chain Woes Plague Apple, When's the Best Time to Buy?

Could the chip shortage be the Grinch to steal Apple's Christmas?

The supply chain, still smarting from a global pandemic and labor shortage, threatens to derail some holiday cheer this year. Apple's (

AAPL

+0.56%) Oct. 28 earnings report delivered the harsh reality that the company is struggling to get the internal chips and necessary components for top new products. With electronics supplies low going into Q4, it seems the Grinch has his eyes on Christmas at Apple this holiday season. But a bumpy sleigh-ride for Apple this winter could mean cost-averaging opportunities for savvy, long-term investors What is going on with the supply chain?

This year has already seen fallout from continual supply chain crises arising from the COVID-19 pandemic, and further trouble owing to the Suez Canal blockage in March. Those cascading events put a real pinch on companies that source materials worldwide, and which manufacture in China or other areas where labor costs are low.

Major semiconductor manufacturers rely heavily on raw materials from distant shores, and in its most recent earnings call, Apple addressed how the chip shortage combined with supply chain disruptions to affect the company's previous quarter. CEO Tim Cook bet heavily on Apple's reliance on Foxconn and other manufacturers' ability to get necessary materials from around the world. But shipping delays and COVID-19 woes kept Apple's key suppliers from delivering necessary components, including casings, cameras, and critical internal chips and plastics.

How might that weigh on Apple stock prices in Q4?

Apple's new product launches should have driven much higher profits, but the company's struggles to get materials to the factories, and completed products, cost it somewhere around \$6 billion, according to Cook during the earnings call. "Demand was very robust," the CEO stated, but without an appropriate supply, the retailers just couldn't deliver expected sales figures. This led Apple to barely eke out anticipated profits and drove its Q4 expectations lower.

Stores are having real trouble keeping the new iPhone 13 and Apple Watch Series 7 in stock, and Macbooks are backordered months behind delivery. In all likelihood, the final quarter of 2021 will show similar struggles. The subsequent earnings report at the end of January, the one most impacted by holiday sales, could potentially even deliver news of a missed revised earnings mark, something the company barely avoided in late October.

Is now the time to buy a competitor?

Samsung, Apple's largest direct competitor in the smartphone market, has been struggling to keep up supply all year. It was hit with supply chain problems much earlier than Apple was, leaving Samsung in a poor place to capitalize on its rival's Christmas woes.

Samsung's own chip production, primarily server DRAM and memory NAND chips, continues to drive company profits, but its smartphone division has not yet managed to capitalize on the challenges facing Apple. Supply chain failures of raw materials and the logistics capacity to transport finished goods remain an ongoing issue for Samsung going into the close of the year.

Xaomi, OPPO, vivo, and other global competitors also face similar market conditions. Market share may not pass much between the big leaders, but whoever can most effectively move products from raw materials to final delivery has a chance to be a big winner this holiday season.

Look toward Black Friday and Cyber Monday sales for an early indicator of who can get goods on the shelves at the start of the season. But the real proof in the Christmas pudding will be December's holiday numbers. The National Retail Federation is likely to provide a great bellwether for these events as the season progresses.

Date : Nov 12 , 2021

Jan 4 ,2021

Why Apple became a \$2 trillion company in 2020, and what could come next

As much as Apple changes, the iPhone is still the biggest revenue story for the market's largest company and Wall Street has big expectation for the first 5G phones in 2021.

But it was the services business built on the foundation of a billion phone users that received a bullish upgrade from investors in 2020, analysts say, and it now represents as much as half of Apple's value.

Challenges remain: Apple's streaming video services hasn't wowed, its significant Google search licensing revenue is targeted in Alphabet antitrust review, and it has not yet detailed a strategy for the EV market as cars become software on wheels.

Signs of a pricey stock market are not hard to find for investors fearing a repeat of the dotcom bubble. The speculative edges of the market, like the booming IPOs and SPACs, or Tesla, get a lot of attention when investors are looking for indicators that the market is due for a correction. But at the very top of the market, there's evidence of how far and how fast stocks, and in particular technology companies, have run: Apple.

The market's biggest company easily topped the \$2 trillion mark in 2020, and Apple, along with the other trillion-dollar-plus tech leaders like Microsoft, Alphabet and Amazon that have dominated S&P 500 gains, together grew to represent between 20-25% of the entire U.S. large-cap stock index through the pandemic year. For Apple, there's also a basic, stand-alone stock market metric that shows a big bullish change in the way Wall Street and investors viewed the technology company in 2020. Apple's three-year price-to-earnings ratio is roughly 19 times. But in 2020, its P/E ratio went up to over 43 times earnings.

Wall Street analysts aren't running scared. Even after the big year, many see more room for the iPhone maker's shares to run higher, and they point to an evolution in how investors are defining Apple. There's was a major re-rating of Apple shares by investors in 2020 focused on one growing part of the business, the analysts say: services.

For years, Apple was viewed as a hardware company and its P/E held in check by that commodity business profile, and for years, Apple CEO Tim Cook has been pushing the narrative that the company's iOS operating system services ecosystem, built around a base of roughly one billion device users, was a big part of the future. In 2020, that evolving mix of hardware and software in the Apple story got its biggest endorsement from Wall Street and investors.

31 August 2020

Apple stock split 2020: what you need to know

Apple has announced a four-for-one stock split, which is set to take place on 31 August 2020. Here, we explain what this means for investors and take a look at Apple's stock split history.

Apple stock split 2020

Apple's upcoming stock split will see investors issued with four new shares for every one they currently own. These shareholders will continue to own the same proportion of Apple stock, since the company will effectively increase the number of shares in circulation by dividing existing shares in four.

The split has been approved by Apple's board and is scheduled to take place on 31 August 2020. Apple shareholders on record as of 24 August 2020 will be eligible to receive the new shares.

Why is Apple splitting its stock?

While Apple has not given an official reason for 2020's split, it is likely that the company thinks that its high share price could deter new investors

The company has previously split its stock four times when its shares have seen significant price increases, as highlighted in the table below. In the first three instances, stocks were split in two when the price was near triple figures. Then, in 2014, share prices rose sharply and a higher split ratio was used.

While a stock split might be carried out to encourage investment, the split in itself doesn't affect the market capitalisation of a company. Existing shareholders will own more stocks, but each of those stocks is worth less, so there is no change to the total market value of the company.

Stock divides might not directly increase share prices, but they can often result in higher share prices further down the line. By making shares accessible to new investors, demand can increase, causing the share price to appreciate and the total market capitalisation to rise.

Apple stock has appreciated enormously since the company's last split. It became the first ever publicly listed business to be valued at more than \$1 trillion in December 2019, then the first US company to breach \$1.5 trillion in June 2020.

2021

Microsoft's stock price plummeted 14.74% on Monday, the largest single-day drop since April 24, 2000. At that time, Microsoft's stock price fell by 15.6%. In the past month, Microsoft's stock price has fallen by 27%, and the Dow has fallen by 31% [5]. In a micro perspective, during epidemic time, Microsoft's stock started decrease since February 10, 2020. At the time when Apple had their its lowest price on March 23, Microsoft also having a bad situation, but

the lowest price of Microsoft price is on March 16. The opening price on that day is 140.0, the closing price is 135.42. Even though the stock price of Microsoft is much higher than Apple, but their volume is quite similar, even Apple's volumes are higher than Microsoft. It is because Apple's market value is higher than Microsoft.

6. OVERALL TREND

For Apple, the epidemic only affected it at the beginning, but it took only four months for Apple to return to its previous normal stock price. It can be seen that the true hidden strength behind Apple can enable Apple. Recovered in such a short time. The overall situation of Apple's stock price continued to rise. It only fell sharply between February and June, when the

epidemic first began, but it quickly returned to its original state. During the period from August to November, the impact of Apple's new products rose first and then fell back to normal levels. There was also a peak in early 2021, and then it returned to normal levels. The overall level of Apple's stock increased by 67.4% over the same period.

For Microsoft, his situation is actually similar to that of the same type of Apple. At the beginning of the epidemic, there was a huge decline from February to

March, but it was basically fully restored to the previous level before June. Like Apple, it took just four months to solve the severe damage caused by the epidemic, which shows that Microsoft's strength cannot be underestimated. Microsoft's overall trend continues to rise. However, unlike Apple, the highest value of Apple's stock is in December, which is the end of 2020,

but the highest value of Microsoft's stock is in September. After September, the stock declined slightly, but it only fell to a normal level, and then slowly climbed up.

Comparing Apple's stock price and Microsoft's stock price, we can find that Microsoft's stock price is much higher than Apple's, but when we compare their number of transactions, we find that Apple's number of transactions is many times greater than that of Microsoft. This has also led to the fact that the total trading volume of Apple stock and Microsoft stock is similar, and sometimes Apple is even higher than Microsoft.

To conclude, the pandemic did not bring an irreparable blow to Apple. Instead, it only took it four months to restore its stock to its original value, or even rise. This is enough to show that Apple's foundation is stable and there are excellent strategies to enable them to recover their losses in time when they faced strong impacts. In general, Apple's stock only declined during

the most severe period of the pandemic, and remained at a stable value for the rest of the time, and there was also a phenomenon of continuous rise. Date : 2021

April 28, 2021

Apple today announced financial results for its fiscal 2021 second quarter ended March 27, 2021. The Company posted a March quarter record revenue of \$89.6 billion, up 54 percent year over year, and quarterly earnings per diluted share of \$1.40. International sales accounted for 67 percent of the quarter's revenue.

"This quarter reflects both the enduring ways our products have helped our users meet this moment in their own lives, as well as the optimism consumers seem to feel about better days ahead for all of us," said Tim Cook, Apple's CEO. "Apple is in a period of sweeping innovation across our product lineup, and we're keeping focus on how we can help our teams and the communities where we work emerge from this pandemic into a better world. That certainly begins with products like the all-new iMac and iPad Pro, but it extends to efforts like the 8 gigawatts of new clean energy we'll help bring onto the grid and our \$430 billion investment in the United States over the next 5 years."

"We are proud of our March quarter performance, which included revenue records in each of our geographic segments and strong double-digit growth in each of our product categories, driving our installed base of active devices to an all-time high," said Luca Maestri, Apple's CFO. "These results allowed us to generate operating cash flow of \$24 billion and return nearly \$23 billion to shareholders during the quarter. We are confident in our future and continue to make significant investments to support our long-term plans and enrich our customers' lives."

Apple's board of directors has declared a cash dividend of \$0.22 per share of the Company's common stock, an increase of 7 percent. The dividend is payable on May 13, 2021 to shareholders of record as of the close of business on May 10, 2021. The board of directors has also authorized an increase of \$90 billion to the existing share repurchase program.

Date: April 28, 2021

January 27, 2021

What Happened

Apple shattered analyst expectations across adjusted EPS, total revenue, and services revenue for Q1 FY 2021. The company's services revenue of \$15.8 billion marked a 24.0% increase YOY and was ahead of the \$14.9 billion analysts predicted. Adjusted EPS climbed by 34.4% YOY to \$1.68, and Apple reported all-time record revenue of \$111.4 billion. The company attributed this performance to double-digit growth across each of its product categories and all-time revenue records in each geographic segment. 27, 2021

What To Look For

Apple Inc. (AAPL) has seemed impervious to bad news over the past year. The company's stock has more than doubled since its annual low in early 2020 as demand for Apple products and services has risen with more people working at home amid the COVID-19 pandemic. The stock even has advanced in recent months despite a major antitrust lawsuit filed by the U.S. Justice Department against Alphabet Inc. (GOOGL) that directly threatens Apple's lucrative partnership with its fellow tech giant.³

Investors will watch closely whether Apple can keep up its performance when it reports earnings on January 27, 2021 for Q1 FY 2021.⁴ Analysts predict that Apple will report increases in both adjusted earnings per share (EPS) and revenue, with adjusted EPS rising at a slower pace than Q1 FY 2020 and revenue at a slightly faster pace.⁵

Visible Alpha. "Financial Data."

Apple's latest fiscal year ended in September 2020.

Investors will also look at another key metric, Apple's services revenue, which is a key part of Apple's strategy of diversifying its revenue mix. Analysts expect services revenue, which has rich profit margins, to post its strongest growth in five quarters.⁵

Apple's strong services revenue performance has contributed to the stock's success relative to the broader market, even though the stock posted a steep decline last March and moved largely sideways between early September and December. For the past 12 months, though, Apple's shares have provided a total return of 76.6%, about 5 times the 15.7% total return of the S&P 500 over the same period. All figures are as of January 24, 2021.

Apple's revenue has climbed year-over-year (YOY) for 14 out of the last 16 quarters, with Q1 and Q2 FY 2019 the only periods with a YOY decline. Still, revenue gains for many recent quarters have been anemic: revenue climbed by less than 2% YOY in 4 of the 6 most recent quarters. For Q1 FY 2021, analysts expect that to change. They see a robust YOY increase of 11.1%, the highest quarterly revenue improvement since Q4 FY 2018.⁵

The company's adjusted earnings have been similarly mixed in recent quarters. After three quarters with YOY gains of more than 30% in FY 2018, Apple's adjusted EPS growth has been erratic in the most recent 8 quarters. Three of those 8 quarters have seen YOY declines, including Q4 FY 2020. For Q1 FY 2021, analysts estimate adjusted EPS growth of 9.9%. That's a significant improvement on a sequential basis but a far slower pace than the 19.3% increase in the same quarter a year earlier. Date : January 27 , 2021

28 Oct 2021

Apple results hit by supply chain woes

Chief Executive Tim Cook said that the impact will be even worse during the current holiday sales quarter.

Supply chain woes cost Apple Inc \$6bn in sales during the company's fiscal fourth quarter, which missed Wall Street expectations, and Chief Executive Tim Cook said that the impact will be even worse during the current holiday sales quarter.

Cook told Reuters news on Thursday that the quarter ended September 25 had "larger than expected supply constraints" as well as coronavirus pandemic-related manufacturing disruptions in Southeast Asia. While Apple had seen "significant improvement" by late October in those Southeast Asian facilities, the chip shortage has persisted and is now affecting "most of our products", Cook said.

"We're doing everything we can do to get more [chips] and also everything we can do operationally to make sure we're moving just as fast as possible," Cook said.

Cook said the company expects year-over-growth for its quarter ending in December. Analysts expect growth of 7.4 percent to \$119.7bn.

"We're projecting very solid demand growth year over year. But we are also predicting that we're going to be short of demand by larger than \$6 billion," Cook said.

Shares of the California, United States-based company, which had risen nearly 15 percent this year, slumped 5 percent in extended trading on Thursday. The dip in Apple shares could make Microsoft Corp the world's most valuable company after a run-up in Microsoft shares on the strength of its cloud computing business.

Apple's results were mixed in a fiscal fourth quarter seen as a lull before the high-sales holidays at the end of the year.

Apple said revenues and profits for the fiscal fourth quarter were \$83.4bn and \$1.24 per share, compared with analyst estimates of \$84.8bn and \$1.24 per share, according to IBES data from Refinitiv.

The results were a rocky end to a fiscal year of above-expectations sales led by its iPhone 12 models and strong sales of Mac computers and iPads for working and learning from home during the pandemic.

Apple told investors in July that chip constraints would start to hit its iPhone and iPad lineups for the first time in the fourth quarter.

Apple posted its results shortly after retailer Amazon.com forecast holiday-quarter sales well below Wall Street expectations, citing labor supply shortages and global supply chain issues in part.

Date : 28 Oct 2021

20 Jul 2022

Apple Q3 earnings: services expected to grow, but supply issues could stifle revenues

Apple Q3 earnings: services expected to grow, but supply issues could stifle revenues

When will Apple report their latest earnings?

Apple report their earnings for their fiscal third-quarter (Q3) post-market on Thursday 28 July, 2022

What should traders look out for? Apple shares have been hit hard over the course of 2022, with fears over higher interest rates damaging many of the big US tech names. Expectations of an impending recession do ask questions over demand over the course of this year, while expectations of rising interest rates will provide questions around market valuations.

The chart below highlights how iPhone sales dominate despite attempts to diversify over the years. However, it also points towards the undeniable growth of their services business, which provides optimism for future revenues aside from the need to constantly innovate new market leading products. There are undoubtedly significant headwinds facing the firm, with a high risk of underperformance or slowing growth as a result. Supply chain issues have been prominent over the course of the first half of 2022, and that is likely to represent one key area of concern for investors.

The chart below from Schroders highlights how supply chain problems remain the primary concern for many firms, although we are seeing a sharp rise in mentions of “recession” and “inflation” in recent months. This highlights some of the key issues traders should be looking out for when they attempt to weigh up ongoing and future risks for the firm. With regards to Apple, they certainly have had supply chain issues to overcome across the business. Their operations in China will be particularly in focus as the Chinese ‘zero Covid-19’ policies provide questions around production and demand levels for the quarter. Meanwhile, the Russian sales figure should also be followed to see the impact caused by the recent pause in sales.

Things should look more positive on the services side of the business, with double-digit year-over-year (YoY) growth expected for the fiscal Q3. This is an increasingly important and growing segment of the business that optimists will be watching closely. Services represented 21% of total revenues in Q3 2021, while that figure is forecast to rise to 24% this time around.

Thankfully, this is a particularly high margin segment of the business (72.6%).

It is worthwhile noting that the numerous factors impacting Apple from both a demand and supply perspective should provide the grounds for significant volatility away from market expectations come 28 July. The wide spread of analyst estimates does highlight the unpredictability of earnings for the quarter, with the lowest revenue prediction of \$78 billion coming well below the \$88 billion forecast from the optimistic Elazar Advisors.

For long-term investors, it will be prudent to look towards the company breakdown of why the numbers look a certain way. After-all, there will no doubt be factors in play that will be temporary in nature rather than indicative of long-term concerns. Date : 20 Jul 2022

December 31, 2022

Apple's value plunged nearly \$1 trillion in 2022. Here's Apple marked a grim milestone this week, falling about \$1 trillion below a peak reached in 2022.

The company's shares rallied in recent days, but the massive loss in value reflects difficult economic times for companies across the tech industry and beyond.

The tech-heavy Nasdaq plummeted by about one-third in 2022 while the broader S&P 500 fell 19% over that period. Apple's performance, meanwhile, fell right in between those two indexes, dropping 27% over the course of the year.

The decline of a longstanding stalwart like Apple highlights trends that thrust the U.S. economy into uncertainty in 2022, leaving it in a precarious position as the new year begins, analysts told ABC News.

The forces that have squeezed Apple and the wider economy include a shift from pandemic-era consumption that flipped the fortunes of companies large and small, a near-historic rise in inflation that triggered an aggressive response from the Federal Reserve and supply chain disruptions that eased but persisted with zero-COVID lockdowns in China, analysts said that says about the economy

"You're talking about \$1 trillion wiped out from the economy in one stock – it's a big number and it isn't something that should be ignored," Angelo Zino, senior industry analyst at CFRA Research, told ABC News.

Apple did not immediately respond to a request for comment.

Why Apple lost nearly \$1 trillion in value in 2022 and what it says about the state of the U.S. economy.

Consumer tastes change as pandemic fears wane

Like many tech companies, Apple has suffered from a major consumer shift away from the pandemic-era focus on buying goods.

At the height of the pandemic, hundreds of millions across the globe facing lockdowns replaced restaurant expenditures with couches, exercise bikes and tech products. Over the first three months of 2021, for instance, Apple's profits more than doubled compared to the same period a year prior.

"People were home buying computers, playing with gadgets and consumer electronics – all the things that Apple sells," Mark Zandi, chief economist at Moody's Analytics, told ABC News.

As pandemic fears have waned, however, consumers have prioritized spending on the experiences they missed out on while cooped up indoors. This fall, demand for personal computers plunged nearly 20% compared to the year prior, research firm Gartner found.

That change in taste has punished the bottom line of Apple and many tech firms, Zandi said.

"Since the pandemic has been winding down, people have been shifting spending away from consumer electronics to travel, restaurants and ball games," he said. Date: December 31, 2022.

December 31, 2022

Inflation rises and aggressive interest rate hikes follow

Apple has also faced challenges rooted in rapid price hikes and the Federal Reserve's policy response, which has slowed some areas of the economy and pummeled the stock market.

At its peak, inflation reached 9.1% in June, a level last seen more than four decades ago. To dial back the rising costs, the Federal Reserve has undertaken an aggressive set of interest rate hikes.

An increase to the benchmark interest rate raises borrowing costs for consumers and businesses, which in theory should slash inflation by slowing the economy and eating away at demand. That means borrowers, whether businesses or individuals, have a harder time accessing loans, the lifeblood of economic activity.

Because interest rate hikes typically weigh on the economy and corporate earnings, investors flee. That pain is particularly acute for tech stocks like Apple because investors choose them in the first place for strong profit growth, which appears increasingly unlikely as interest rates jump, Zandi said.

"Investors are buying their stocks because of expected profit growth long into the future," he said. "They get hit hard."

High prices and rising borrowing costs can also weigh on consumers, eating away at savings and casting aside spending on items like iPhones or MacBooks.

Consumer spending proved resilient for much of the year due in part to savings from the pandemic, but the cushion appears to have dwindled in recent months. The personal savings rate fell to 2.3% in October, the lowest rate in nearly two decades, according to data from the Commerce Department.

Date: December 31,2022

3 Jan 2022

Apple became the first US company to be valued at over \$3tn on Monday as the tech company continued its phenomenal share price growth, tripling in value in under four years.

A pandemic-era surge in tech stocks has driven the major US tech companies to new highs, pulling US stock markets with them. Apple became the world's first trillion dollar company in August 2018, passed \$2tn in 2020 and hit its new high as trading began after the holidays and its shares passed \$182.80 a piece before dipping lower to end the day valued at over \$2.9tn.

Apple alone is now more valuable than the combined values of Boeing, Coca-Cola, Disney, Exxon-Mobil, McDonald's, Netflix and Walmart. Its shares have risen 38% since the beginning of 2021, one of the largest gains on the Dow Jones industrial average stock market index.

The company released its last quarterly earnings in October and made a profit of \$20.6bn over the previous three months despite suffering from Covid-related supply chain issues.

It is unlikely to remain the only \$3tn company as analysts expect Microsoft will also hit the mark later this year.

The news came as US markets edged higher and European shares bounded to record highs in the first day of trading in 2022 as investors bet on a steady economic recovery despite the rising number of Covid-19 cases caused by the Omicron variant.

Europe's benchmark stock index, the Stoxx 600, rose to a record intraday high of 491.73 points on Monday, surpassing its November peak of 490.58, as global oil and equity markets climbed. It later closed at 489.99, up 0.45%.

The Stoxx 600 recorded a 22.4% jump last year, its second-best yearly performance in over a decade, after the global rollout of Covid-19 vaccines and government stimulus spending encouraged investors to pour money back into the markets.

The share price of airlines Lufthansa and Air France-KLM were two of the biggest climbers across Europe's equity markets after analysts at Citi forecast that the reopening of travel routes to Asia could help bolster the beleaguered travel sector. Lufthansa shares rose by almost 8.9% to €6.73 a share, and Air France KLM rose by 4.9% to €4.06.

Europe's record start to the new year set the stage for US markets to continue their late 2021 recovery. The opening of the S&P 500 index, which climbed by 26.9% last year, was bolstered by a 9% jump in Tesla shares after the company's quarterly deliveries exceeded expectations.

In another boost to US markets global oil prices, which last year recorded their biggest annual rise since at least 2016, resumed their rise towards \$80 a barrel as fears that emerged late last year over the impact of the Omicron variant waned. The oil price helped shares in US oil majors Chevron and ExxonMobil climb by 1% each.

The London Stock Exchange (LSE), which has lagged behind its European and US rivals by climbing 14.3% last year, was closed on Monday for the new year bank holiday. The FTSE 100 has been criticised as "old-fashioned" due to its dearth of tech companies and a glut of oil and bank stocks. It remained 6.5% below its May 2018 peak last year while the US, German and French markets all hit record highs. Date : 3 Jan 2022

3 Jan 2022

Sean Darby, a global equity strategist at Jefferies, said: “Although Covid-19 variants permeated the global economy, 2021 was the year of records with many bourses closing at or near record highs, while inflows into equities surpassed their largest accumulation ever. Peering into 2022, we expect volatility to rise.”

Global oil markets are also expected to face ongoing volatility in the year ahead as traders balance the risk that the Omicron variant may stall a rebound in demand for transport fuels, against uncertain supplies from the world’s biggest oil producers.

This article was amended on 5 January 2022. The S&P 500 index rose by 26.9% last year, not a record 47.7% as an earlier version said. The latter figure relates specifically to the S&P 500 energy index.

June 28, 2023

June 28 (Reuters) - Apple's (AAPL.O), opens new tab stock climbed to a record high close on Wednesday and was on the cusp of a \$3 trillion market capitalization.

The iPhone maker's stock rose 0.6% to end the day at \$189.25, putting Apple's market value at \$2.98 trillion, according to Refinitiv data. It was the second straight record high close for Apple's shares.

Apple has yet to end a trading session with a stock market value above \$3 trillion. It briefly peaked above \$3 trillion in intra-day trading on Jan. 3, 2022 before closing the session just below that mark.

The latest gains in shares of the world's most valuable company follow strong rebounds this year from several of Wall Street's technology-related heavyweights, fueled by bets that the Federal Reserve is nearing the end of its campaign of U.S. interest rate hikes, and by optimism about the potential for artificial intelligence.

"There hasn't really been any new information fundamentally that would be supportive of the stock move," said Thomas Martin, Senior Portfolio Manager at Globalt Investments. "What you're left with is, you know, the market itself."

As well, Apple's most recent quarterly report in May showed a drop in revenue and profits, but still beat analysts' expectations. Along with a steady track record of stock buybacks, those financial results reinforced its reputation among investors as a safe investment at a time of global economic uncertainty.

Recent gains in Apple's shares have outpaced analysts' estimates for the company's future earnings. The stock is now trading at about 29 times expected earnings, its highest multiple since February 2022, according to Refinitiv data.

Date: June 28,2023

Jan. 3, 2023

What happened

Apple (NASDAQ: AAPL) stock tumbled 4% through 2 p.m. ET on Tuesday, knocking the tech titan below \$2 trillion in market capitalization for the first time since 2021, and putting Apple stock a full one-third below the \$3 trillion market cap it hit a year ago.

And yes, you can blame investment bank BNP Paribas Exane for that -- but only in part.

So what

As its first stock action of the new year, BNP downgraded Apple stock from outperform to neutral this morning, and slashed its price target on the tech giant by 22%, to just \$140 a share.

It's not yet known how many total gadgets Apple produced in 2022. But citing supply chain issues in China, BNP said Apple is likely to ship no more than 224 million iPhones in 2023, down 7% from 2021, reports StreetInsider. Mac and iPad shipments are also expected to fall this year, and earnings could decline by as much as 6% (in which case, they'd also miss Wall Street estimates, which call for flat earnings this year).

BNP's downgrade is certainly weighing on Apple stock today, but it's worth pointing out that BNP may only be reacting to other news that necessitated the downgrade. Specifically, Nikkei Asia has reported that Apple is warning its suppliers that it sees weak demand for its products this year, so it won't be ordering as many components for its devices.

Granted, when you consider that COVID-19-related supply disruptions in China were already making it difficult for Apple to build all the devices it wanted to, the fact that Apple is affirmatively ordering fewer parts right now might not be as big a deal. The demand problem may be canceling out the supply problem for Apple!

That being said, whatever the reason for the slower sales, this is not a development calculated to make Apple investors happy. Even at a current valuation of 18.5 times free cash flow -- which sounds kind of cheap for a stock like Apple -- analysts are forecasting no more than single-digit earnings growth for the company over the next four straight years. With at least one high-profile analyst now warning that earnings could actually shrink, rather than grow, in the current year, it's no wonder that investors might be starting to worry that Apple stock is actually overpriced.

10 stocks we like better than Apple

When our award-winning analyst team has a stock tip, it can pay to listen. After all, the newsletter they have run for over a decade, Motley Fool Stock Advisor, has tripled the market.*

They just revealed what they believe are the ten best stocks for investors to buy right now... and Apple wasn't one of them! That's right -- they think these 10 stocks are even better buys.

Date :Jan 3,2023

Sept. 13, 2023

U.S. stocks fell Tuesday with tech stocks dragging on indexes after Apple unveiled its latest iPhone and the Justice Department's antitrust case against Google went to trial in Washington.

The Nasdaq sank 1% Tuesday while the S&P 500 fell 0.6% and the Dow Jones Industrial Average, in the green for much of the day, closed 0.1% lower.

Apple (AAPL) introduced the iPhone 15 and new versions of its Apple Watch and AirPods at its "Wonderlust" event today. The iPhone, which accounts for about half of Apple's revenue, got several upgrades, including USB-C charging, as well as titanium siding and improved cameras on premium models. Those improvements aren't cheap, though. The top-tier model, the iPhone 15 Pro Max, will retail for \$1,199

The Department of Justice's (DOJ) suit against Google (GOOG; GOOGL), alleging the search giant has illegally maintained a monopoly at the expense of rivals and consumers, went to civil trial today. The case is expected to be the most consequential antitrust case brought against Big Tech since the government took on Microsoft (MSFT) in 2001

Rising oil prices also put pressure on stocks. Crude oil futures jumped nearly 2% today to nearly \$90 a barrel, a price last seen in November 2022.

July 1, 2023

Apple's (AAPL) market valuation hit \$3 trillion on Friday, making it the first publicly traded company to touch the milestone twice. The company's market cap closed above \$3 trillion Friday for the first time ever, as shares ended the day up 2.31% at \$193.97.

The iPhone maker originally eclipsed the \$3 trillion mark in Jan. 2022.

The milestone comes after a rip-roaring first half of 2023 for tech stocks, which has seen the Nasdaq rise 30% while Apple stock has gained more than 45%.

Wall Street and Silicon Valley are all in on the generative AI hype wave that kicked off with the release of OpenAI's ChatGPT in Nov. 2022. But while companies like Microsoft (MSFT), Google (GOOG, GOOGL), and Nvidia (NVDA) can point to their work in AI for at least partially buoying their share prices, Apple has largely stayed away from any mention of AI

Instead, the company's biggest achievements have come via its ability to navigate the supply chain crisis caused by COVID lockdowns in China and the resilience of its iPhone business—and the promise of diving into new the AR/VR headset market with its Vision Pro.

Apple, like other tech companies, faces difficult comparisons over the last few earnings seasons as it digested the massive pull forward in sales of iPhones, Mac computers, and iPads during the pandemic.

And while Mac and iPad revenue in the latest quarter was lower than in the same period of 2022, iPhone sales jumped year-over-year.

In June Apple debuted a 15-inch version of its popular MacBook Air, which could help boost Mac sales moving forward, especially as we enter the all-important back-to-school shopping season. But iPad sales could still be challenged moving forward.

The Cupertino-based company is also moving in a handful of new directions that could define its future. Its most ambitious Vision Pro headset is set to launch in early 2024 at an eye-watering \$3,499. Date: July 1, 2023

August 4, 2023

Apple sees sales slump continuing, shares drop 2% despite beating sales expectations

Aug 3 (Reuters) - Apple (AAPL.O), opens new tab on Thursday forecast that a sales slump would continue into the current quarter, sending shares down despite beating Wall Street sales and profit targets in the fiscal third quarter.

Apple shares dropped about 2% after the company predicted what could be the fourth quarter in a row of declining sales. For the just-ended period, strength in services drove the profit beat, but weaker than expected sales of Apple's most famous device, the iPhone, underwhelmed investors. Executives said iPhone sales would improve in the fourth quarter, but did not say how much.

Apple is in a delicate position, with its entrenched iPhone battling for share against Android rivals in a mature market, while its next big product - the Vision Pro mixed-reality headset announced in June - is not yet in the hands of consumers.

Apple said sales for the fiscal third quarter ended July 1 fell 1.4% to \$81.8 billion and earnings per share rose 5% to \$1.26. That topped analyst expectations of \$81.69 billion and \$1.19 per share, according to IBES data from Refinitiv. Weaker iPhone sales were balanced by strong sales in the services segment that contains Apple TV+ and by sales in China that grew 8% year over year.

Apple Chief Financial Officer Luca Maestri said the company expects a year-over-year revenue performance in the company's fiscal fourth quarter ending in September similar to the drop the company reported on Thursday. That sales forecast is below analyst expectations of roughly flat fiscal fourth-quarter sales of \$90.19 billion, according to Refinitiv data.

"There is a real concern about when volume picks up and what the horizon is for iPhone sales growth," said Daniel Newman, chief executive and principal analyst at research firm Futurum Group.

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Apple pegged the gross profit margin in the September quarter at 44% to 45%, above analyst expectations of 43.4%, according to Refinitiv data. While Apple expects growth in its service segment that contains Apple TV+, iPad and Mac sales will fall by "double digits," Maestri said on the call.

Apple's research and development spending also hit \$22.61 billion for the fiscal year so far, about \$3.12 billion higher than at this point in the previous year.

Feb 3 2025

Apple shares fall on concern Trump tariffs on China will hit profit

Apple shares fell more than 3% on Monday after President Donald Trump announced 10% tariffs on China, where the company assembles the majority of its products.

Apple's decline was steeper than all of the tech megacaps, other than Tesla, and shows how vulnerable the iPhone manufacturer could be to increased import costs.

While Apple faced tariffs during the first Trump administration, the company was largely able to avoid fees by securing waivers for its specific products. It also expanded its supply chain to do some assembly in countries such as Vietnam, Malaysia and India. But Apple remains reliant on Chinese production.

Apple declined to comment on the tariffs. They go into effect on Tuesday.

"Apple being included in China tariffs is contrary to our expectations," wrote Rosenblatt analyst Barton Crockett in a note on Monday.

Crockett wrote that he expects Apple to pass price increases to the consumer, a move that he said could upset Trump. "We thought history would repeat. But that's not the case right now," Rosenblatt wrote.

Last week, Apple reported 4% revenue growth in the December quarter to \$124 billion. However, the company guided investors to expect merely "low to mid single digits" growth in the current quarter, and said sales in China, Taiwan and Hong Kong declined 11% in the latest period.

The ultimate effect of the tariffs on Apple's profit may depend on how much U.S. demand the company can fill from production locations outside of China.

If Apple can source 80% of U.S.-bound devices from outside of China and doesn't raise prices, it could hurt annual earnings by 5 cents per share, or less than 1%, according to a note on Monday from Bank of America Securities analyst Wamsi Mohan. If half of U.S. Apple devices are from China, it would hurt Apple's full-year earnings by 12 cents, Mohan estimates.

For the fiscal year ending in September, analysts expect Apple to report earnings of \$7.34, according to LSEG. Date : Feb 3,2025

6 December 2024

The AI spotlight turns to Apple (AAPL) Monday as the tech giant kicks off its Worldwide Developers Conference. The buzz around the iPhone maker's big artificial intelligence reveal has pushed Apple stock higher recently.

Last week, Apple shares rose 2.4% to 196.89, moving closer to a 199.62 cup-base buy point, according to IBD Market Surge charts. Shares ended Friday at a 2024 closing high, up 2.2% for the year. AAPL stock has rallied 20% from a 52-week low of 164.07 on April 19, largely in anticipation of Apple's plan to play a more prominent role in generative AI.

Apple stock ended the regular session on Monday down 1.9% to 193.12

Apple Confirms OpenAI Deal

Apple confirmed a deal with ChatGPT creator OpenAI to tap into broader expertise.

The company has seamlessly integrated its own AI with technology from ChatGPT, Federighi said.

"We also intend to add support for other AI models in the future," he said.

Apple stock is down roughly 1.5%.

Jun 11, 2024

Apple stock soared 7% to a record high as investors cheered developments unveiled at its WWDC event.

Apple gained as much as \$198 billion in market value on Tuesday.

The iPhone maker is now just \$29 billion in market value away from eclipsing Microsoft as the world's largest company.

Apple stock soared as much as 7% on Tuesday to a record high above \$200 per share.

The gains came a day after Apple's keynote presentation at its WWDC event, which was heavily centered on its new generative AI software offerings.

The stock initially sold off, with Apple shares falling 2% on Monday following the WWDC event.

But after a slew of positive analyst notes from Wall Street, Apple shares are soaring, with the company adding about \$198 billion in market value on Tuesday at its peak.

Analysts at Citi said it was the "best WWDC ever" while analyst at Goldman Sachs said the integration of ChatGPT and a more conversational Siri assistant should help drive an upgrade cycle across its iPhone and Mac devices.

That's because the new AI features will only work on the iPhone 15 Pro model or later, and only with Macs that have the M1 processor chip or later.

"We're encouraged by the financial implication of today's announcements, with product features that should help to drive upgrade demand for products," Goldman Sachs said.

Date : Jun 11, 2024

May 4, 2024

Apple shares jump as record buyback and upbeat forecast lure investors

May 3 (Reuters) - Apple shares (AAPL.O), opens new tab jumped 7% on Friday as the iPhone maker's record stock buyback plan and promise of sales growth brought back investors who have shunned the stock on concerns over weak demand and increased competition in China.

The company late on Thursday forecast fiscal third-quarter sales that exceeded Wall Street's modest expectations

It also approved an additional \$110 billion in share repurchases, the largest ever buyback authorization by a U.S. company, according to EPFR analyst Winston Chua.

Friday's stock gain added nearly \$200 billion to Apple's market capitalization, lifting it to \$2.86 billion, second only to Microsoft (MSFT.O), opens new tab, worth \$3 trillion.

At Friday's stock price, executing Apple's full buyback authorization would amount to repurchasing nearly 4% of the company's shares.

Apple's forecast showed it is confident that product updates, starting with an iPad event on May 7, will drive demand in its hardware business after months of sluggish growth that made some investors doubt its status as a must-own stock.

12 June 2024

Apple shares climbed more than 7% to a record high on Tuesday by market close, a day after presenting new artificial intelligence features meant to increase the appeal of its devices, including the iPhone, under the umbrella of “Apple Intelligence”.

The rally comes as a breather for the stock, which has underperformed versus the benchmark S&P 500 this year, as Apple grapples with weak sales for its premium consumer gadgets. Apple stands to add the better part of \$200bn to its market value if the current stock price of \$207 holds.

At \$3.18tn, its market capitalization is tens of billions shy of Microsoft’s, the world’s most valuable company. Nvidia, the largest benefactor of a boom in AI applications and number three in terms of market value, is at \$2.97tn.

At its annual developer event that kicked off on Monday, Apple revealed an improved Siri virtual assistant that can answer a wider range of queries and accomplish more complicated tasks than earlier, and several AI features across its apps that will be shipped with the latest operating systems for iPhones, iPads and Mac computers.

At least 13 analysts raised their price targets on Apple’s shares after the developer event, and said the latest features could encourage a cascade of new purchases as the company prepares to announce a new line of iPhones in autumn.

“Apple is demonstrating that it is invested in evolving its platform and devices to enable the next era of computing, interfaces and experiences,” Gartner analyst Tuong Nguyen said.

Date: 12 June 2024

25 November 2024

Understanding Apple's seasonality patterns

Apple's stock has historically demonstrated robust performance during the final quarter (Q4), with data spanning two decades showing consistent strength from October through December.

The seasonality pattern reveals average gains around 35% by year-end, highlighting the significance of Q4 performance in Apple's annual trading cycle.

This seasonal strength typically coincides with major product launches and the crucial holiday shopping period, when consumer electronics sales traditionally peak.

Current market dynamics affecting Apple

The tech sector has faced significant headwinds in 2024, with rising interest rates and inflation concerns impacting growth stock valuations. However, the sector has still made impressive gains, climbing the 'wall of worry' to record a 25% rally for the year so far (as of the close on 22nd November).

Apple's position as a market leader makes it particularly sensitive to broader economic indicators and trading signals

Historical data suggests Apple benefits from both retail investor optimism and institutional portfolio rebalancing during these months.

Recent product launches, including the iPhone 15 series and Vision Pro, could provide catalysts for share price appreciation, though supply chain constraints remain a concern.

Market sentiment toward tech stocks has shown signs of improvement, potentially supporting Apple's momentum into year-end. Date : 25 November 2024

June 12, 2024

Apple's stock (AAPL) surged 7% on Tuesday to reach a record-high close for the first time in 2024 as investors digested the announcement of its AI platform, Apple Intelligence.

Shares in the iPhone maker fell slightly in premarket trading on Wednesday, down less than 1%. After the stock fell on Monday during and after the company's WWDC conference, the stock moved higher, notching its best single-day performance since November 2022 as some Wall Street analysts cheered the company's announcements.

"If you look at the signal away from the noise, you realize that this is unprecedented capability that Apple is going to introduce, and it's going to integrate AI into everyday life," D.A. Davidson managing director Gil Luria told Yahoo Finance (video above).

Following Monday's event, Luria upgraded Apple to Buy from Neutral and raised his price target to \$230 from \$200.

On Monday, Apple announced "Apple Intelligence," its long-awaited foray into the generative AI space. The company said the platform would be integrated across the company's hardware and software products, ranging from the iPhone and Mac to mail, messages, and photos. Apple Intelligence will be available for the iPhone 15 Pro and iPads and Macs running Apple's M1 series chips and newer later this fall. Date : June 12,2024

Mar 07, 2024

Apple looks most oversold in years after \$200 billion selloff

Apple Inc. has struggled in 2024, and the recent weakness has the stock looking like it is the most oversold in years, analysts said.

Shares of the iPhone maker are down 14% from a recent peak and have dropped 12% this year, compared with a gain of 7.42% for the Nasdaq 100 Index. Apple shares have been pressured by concerns over iPhone sales in China and a fine from the European Union.

The stock fell 0.3% on Wednesday, its sixth straight negative session. The 7.2% decline over that six-day drop has erased more than \$200 billion in market capitalization.

“At some point this hate is going to be too much, and most oversold in six years seems like a good place to start,” Michael Toomey, head of TMT trading at Jefferies LLC, wrote in a note to clients

January 11, 2024

Microsoft challenges Apple as world's most valuable company

Apple dipped 0.4% on Wednesday, while Microsoft added 1.6%, further eroding the iPhone maker's lead. Apple's stock market value is now at \$2.866 trillion, compared to Microsoft's \$2.837 trillion value.

Apple's market capitalization peaked at \$3.081 trillion on Dec. 14, while Microsoft's value reached as much as \$2.844 trillion on Nov. 28.

iPhone sales in China dropped 30% in the first week of 2024, Jefferies analysts said in a client note this week, adding to signs of growing competitive pressures from Huawei [RIC:RIC:HWT.UL] and other domestic rivals.

Sales of Apple's Vision Pro mixed-reality headset start on Feb. 2 in the United States, marking Apple's biggest product launch since the iPhone in 2007. However, UBS in a report on Monday estimated that Vision Pro sales would be "relatively immaterial" to Apple's earnings per share in 2024.

Jan 10 (Reuters) - A recent dip in Apple's (AAPL.O), opens new tab stock over worries about iPhone sales has left the Silicon Valley tech heavyweight in danger of being overtaken by Microsoft (MSFT.O), opens new tab as the world's most valuable company.

Fresh worries about smartphone demand have pushed Apple's shares down 4% so far in 2024 after rallying 48% last year. Microsoft is up about 2% year to date after surging 57% in 2023.

Apple dipped 0.4% on Wednesday, while Microsoft added 1.6%, further eroding the iPhone maker's lead. Apple's stock market value is now at \$2.866 trillion, compared to Microsoft's \$2.837 trillion value.

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Item 1 of 3 Microsoft logo is seen on the smartphone in front of displayed Apple logo in this illustration taken, July 26, 2021.

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A handful of times since 2018, Microsoft has briefly taken the lead over Apple as the most valuable company, most recently in 2021, when concerns about supply chain shortages related to the COVID-19 pandemic hit the iPhone maker's stock price. Date : January 11 ,2024

January 11, 2024

Both tech stocks look relatively expensive in terms of price to their expected earnings, a common method of valuing publicly listed companies. Apple is trading at a forward PE of 28, well above its average of 19 over the past 10 years, according to LSEG data. Microsoft is trading around 31 times forward earnings, above its 10-year average of 24.

In its most recent quarterly report in November, Apple gave a sales forecast for the holiday quarter that missed Wall Street expectations, hurt by weak demand for iPads and wearables.

Analysts on average see Apple posting revenue up 0.7% to \$117.9 billion for the December quarter, according to LSEG. That would mark its first year-on-year revenue increase in four quarters. Apple reports its results on Feb. 1.

Sep 09, 2024

Apple's annual product launch Monday failed to immediately capture the hearts of investors, as shares of the world's biggest company slumped during the event largely focusing on previously rolled-out artificial intelligence features coming to iPhones.

The event, dubbed "Glowtime" by Apple, marked the official debut of the company's iPhone 16 line designed to support the integration of generative AI directly into the smartphone's operating system, and Apple CEO Tim Cook kicked off the prerecorded video by declaring the company is "thrilled to introduce the first iPhones designed from the ground up" for AI.

Among the new non-AI iPhone 16 features include a new customizable camera control tool, and the company emphasized privacy in its Apple Intelligence initiative, a major talking point ahead of the generative AI push.

Apple Intelligence features will hit the U.S. in October as part of a free software update but won't be ready for Chinese and Spanish languages until next year, a perhaps unwelcome update for those looking for a global rush for new iPhones beginning in 2024.

Shares of Apple fell 1% as the event turned its attention to the iPhone 16 about an hour after its 1 p.m. EDT start, building on a slight dip in earlier trading and moving against a more than 1% gain for the tech-heavy Nasdaq Composite stock index.

Apple also rolled out its Apple Watch Series 10, which starts at \$399 and has the thinnest-ever interface for the smartwatch line and a sleep apnea detector, and new AirPods models equipped with USB-C charging cables and designed to integrate with Apple's AI initiatives, including a system in which users can nod or shake their heads to answer or reject phone calls.

Date : September 09,2024

April 8, 2025,

Apple's historic selloff has bulls balking from tariff risks

A sharp selloff in shares of Apple Inc. illustrates investor skepticism about its ability to navigate President Donald Trump's tariffs on China, Vietnam and India—countries all critical to the iPhone maker's supply chain.

Its shares dropped 19% in the wake of last week's tariffs announcement, marking the worst three-day stretch for Apple since 2001. The rout erased more than \$637 billion in market value from the tech giant and sent a proxy for the stock's volatility skyrocketing. The stock rebounded on Tuesday, up 2.7%, while the Nasdaq 100 Index rose 3.5%.

Apple shares closed at an all-time high of \$259 on Dec. 26 — just two weeks after the tech giant added ChatGPT to its iPhones as part of its second rollout of Apple Intelligence AI features — and the company's market cap soared to a record \$3.9 trillion.

Last week alone, Apple shares fell 11%, marking their biggest weekly loss since November 2022. And as of Tuesday midday, the iPhone maker's market cap stood at roughly \$3.2 trillion.

Apple shares have suffered in the first months of 2025 as Big Tech stocks have led a broader stock market downturn, driven by investor fears that the artificial intelligence boom could disappoint. Apple has also faced its own particular setbacks.

"The tariff situation really complicates things for Apple. What is it going to do? Raise prices? That will hit demand. Absorb costs? That will hurt earnings and margins," said Anthony Saglimbene, chief market strategist at Ameriprise Financial Services Inc. "It is very difficult to assess prospects from here, and that's why the market has reacted the way it has."

The risk became more acute with Monday's threat of an additional 50% levy after China retaliated against previous tariffs with one of their own on U.S. imports.

Wall Street analysts and investors alike are now trying to assess both how tariffs and a slowdown in one of Apple's major growth markets will impact margins, spending and the stock price. The shares were up in premarket trade Tuesday following the previous day's losses.

"The way Apple goes will influence the whole market," Saglimbene said. "Without a deal on tariffs, it is hard to make a near-term case for Apple moving higher." Date : April 8 ,2025

September 10, 2025

Why Did Apple Stock Fall After The Launch?

Here are the main reasons the stock slid post-event:

“Sell-the-news” syndrome: Most features had leaked ahead of time. With expectations already priced in, the reveal lacked surprise and failed to energize the market

Margin pressure from tariffs: Apple absorbed over \$1 billion in U.S. tariff costs while holding stealthily flat prices, raising investor concerns about squeezed profit margins.

Lack of AI breakthrough: With AI the buzziest tech topic, Apple offered only modest enhancements, and its public-facing AI strategy remains vague, with meaningful updates possibly delayed into 2026.

Historical Reaction: Apple Stock Around Launches

Apple often experiences short-term pullbacks after major events, despite longer-term gains. Here’s the pattern as seen in prior product

June 09 , 2025

Apple stock drops 1.5% after WWDC 2025 keynote—did Apple’s big AI reveal and Siri upgrade fail to meet investor expectations?

Apple stock drops 1.5% as WWDC 2025 keynote fails to impress investors: Shares of Apple, which were flat before the conference, slipped 1.5% after executives took the stage at the company’s much-anticipated Worldwide Developers Conference (WWDC) on June 9, 2025. The drop in stock price came as investors weighed the company’s new announcements against high expectations, especially in the artificial intelligence space.

Apple opened trading at \$204.34 but soon began losing ground during the live keynote. By the afternoon, shares had fallen to \$201.42, down \$2.50 or 1.23% for the day. The stock hit a low of \$201.42 and a high of \$205.97 during the session. Apple’s market cap now stands at roughly \$3.28 trillion, with an EPS of \$6.42 and a P/E ratio of 33.71.

Why did Apple stock fall during WWDC 2025?

The stock market reaction appeared tied to Apple’s long-awaited moves in artificial intelligence, which many viewed as too little, too late. During the keynote, Apple introduced “Apple Intelligence”, a suite of AI features powered by new enhancements to Siri and app automation. However, early impressions suggested the upgrades didn’t go far enough to match what rivals like Google and Microsoft have already rolled out. Date : June 09,2025

Apr 7 2025

Apple's 3-day loss in market cap swells to almost \$640 billion

Apple is one of the most exposed companies to a trade war, analysts say, due to its hefty reliance on China, which is facing 54% tariffs.

The company's stock has lost about 20% of its value over the past three trading days, wiping out almost \$640 billion in market cap.

While the market has gotten hammered from the tariff announcements, only Apple, Microsoft and Tesla were down on Monday among the tech megacaps.

While the stock market broadly fared better on Monday than in the prior two trading days, Apple got hammered once again, losing 3.7%, as concerns mounted that the company will take a major hit from President Donald Trump's tariffs.

The sell-off brings Apple's three-day rout to 19%, a downdraft that has wiped out \$638 billion in market cap.

Apple is one of the most exposed companies to a trade war, analyst say, due largely to its reliance on China, which is facing 54% tariffs. Although Apple has production in India, Vietnam and Thailand, those countries also face increased tariffs as part of Trump's sweeping plan.

Among tech's megacap companies, Apple is having the roughest stretch. On Monday, the only stocks to drop in that group of seven were Apple, Microsoft and Tesla.

The Nasdaq finished almost barely up on Monday after plummeting 10% last week, its worst performance in more than five years.

Analysts say Apple will likely either need to raise prices or eat additional tariff costs when the new duties come into effect. UBS analysts estimated on Monday that Apple's highest-end iPhone could rise in price by about \$350, or around 30%, from its current price of \$1,199.

Barclays analyst Tim Long wrote that he expects Apple to raise prices, or the company could suffer as much as a 15% cut to earnings per share. Apple may also be able to rearrange its supply chain so that imports to the U.S. come from other countries with lower tariffs. Apple declined to comment on the tariffs. Date : April 7,2025

September 17, 2025

Apple Stock's Not-So-Magnificent Year: Can AI, iPhone 17 Close the Gap with Big Tech Peers?
Apple shares have declined 5% since the start of the year, making it the only Magnificent Seven stock in the red for the year.

The iPhone maker has struggled to roll out artificial intelligence features, leading Wall Street to debate whether the company should make an uncharacteristically large acquisition to close the gap with big tech peers that have gone all in on AI.

Low expectations heading into this year's iPhone upgrade cycle could boost the stock in the near term, according to Morgan Stanley analyst Erik Woodring.

Apple (AAPL) shares have stalled out, with the iPhone maker's stock down 5% in 2025 as of Tuesday's close.

Tesla (TSLA) and Amazon (AMZN), the Mag 7's next-worst performers, are up single digits, and the remainder of the group—Microsoft (MSFT), Nvidia (NVDA), Alphabet (GOOGL) and Meta Platforms (META)—has gained between 20% and 33%. The Roundhill Magnificent Seven ETF (MAGS) is up 18% for the year, compared with the S&P 500's 12% gain. Artificial intelligence, the technology that's sent so many stocks soaring, is the main reason Apple has struggled. The consensus on Wall Street is that Apple was slow out of the gate in the AI race, and has failed to deliver with the AI features released so far.

While other tech giants quickly pivoted to all things AI when ChatGPT took off in late 2022, it took Apple two years to launch its first major AI tool, Apple Intelligence. In the year since, Apple has delayed new features, raising concerns that the company lacks a clear strategy to deploy the increasingly ubiquitous technology.

The Trump administration's efforts to revive U.S. manufacturing haven't helped matters. Apple makes the vast majority of its products in China and neighboring countries that may face high tariff rates. While Apple products are currently exempt from tariffs, the White House has repeatedly caught industry off guard with sudden and dramatic changes to trade policy. What Will It Take for Apple Stock To Catch Up?

"In our view, what needs to be settled before shares can regain more momentum is clarity on Apple's AI strategy," wrote Morgan Stanley analyst Erik Woodring in an iPhone 17 release preview earlier this month.¹

Morgan Stanley. "iPhone 17 Launch Preview — All Eyes On Pricing."

For months, Wall Street has been debating how Apple can turbocharge its AI efforts, whether through acquisitions or partnerships. CEO Tim Cook said in July that Apple is "very open to M&A that accelerates our road map."

Date : September 17, 2025

May 2, 2025

Apple shares fall as buyback cuts, tariff fears fan investor jitters.

May 2 (Reuters) - Apple (AAPL.O), opens new tab shares fell 5% on Friday after the company trimmed its stock buyback program and CEO Tim Cook flagged a \$900 million tariff-related hit to costs this quarter amid a raging Sino-U.S. trade war.

U.S. President Donald Trump's tariff flip-flops have thrown corporate plans into disarray, even for Apple, which along with Microsoft, has been juggling the title of the world's most valuable company.

The company has been stocking up to cushion the blow from potential supply-chain snarls and rising U.S. import costs. But with consumer confidence sliding, some analysts said Apple may face weakening iPhone demand in its home market.

Its decision to lower its buyback authorization by \$10 billion also marked a rare pullback that signaled a desire to preserve cash in the face of uncertainty. Typically it has either maintained or increased its repurchase levels. The \$100 billion buyback announced is below the \$110 billion announced a year ago, which we found as a bit of a head-scratcher, as Apple historically either holds its buyback or increases it authorization," said Angelo Zino, equity analyst at CFRA Research.

Analysts have warned U.S. tariffs on China could drive up iPhone prices, if Apple chose to pass on the added costs to consumers. But, Cook said most of the devices sold in the U.S. this quarter would be manufactured outside China.

A last-minute exemption for consumer electronics has also offered temporary relief, even as the White House continues to weigh further trade actions.

Cook said on Thursday Apple is ramping up efforts to shift its supply chain away from China, with most U.S.-bound iPhones now set to be assembled in India.

Apple reported quarterly sales of \$95.36 billion and earnings of \$1.65 per share, narrowly beating market expectations. The company forecast low-to-mid single-digit revenue growth, in line with muted expectations.

In China, Apple posted \$16 billion in revenue, slightly above forecasts, though competition from Huawei and slower AI rollout continue to pressure market share.

If losses hold, Apple is on track to shed more than \$150 billion in market value, while a bullish outlook from Microsoft (MSFT.O), opens new tab earlier this week has helped the Windows-maker become the world's most valuable company. Date: May 2,2025

May 2, 2025

SHIFTING SUPPLY CHAIN

Cook said Apple's shift away from manufacturing in China would include sourcing more chips from the U.S. and expanding its footprint in key states like Texas, Arizona, and Oregon, but acknowledged the transition comes at a cost.

"Having everything in one location had too much risk," he told analysts, referring to Apple's historical dependence on Chinese manufacturing.

Apple's move to import iPhones from India marks a further shift in its production strategy, aimed at sidestepping future tariffs while expanding its presence in a fast-growing emerging market.

"Part of their long-term vision is a big portion of the supply chain being in India," said Joe Tigay, portfolio manager at Catalyst Funds, which owns Apple shares.

"I think just kind of having that base there would also do well for their relations or their prestige in the country."